Subros Ltd (SUBROS)

Concall tracker, Q2 2027 (Jul-Sep 2026) · India's biggest maker of car air-conditioning systems, mainly for Maruti Suzuki, plus truck, bus, railway and tractor AC.

1. Snapshot

Number	Value	Plain read
Market cap	₹4,001 cr	What the whole company is worth on the stock market: a mid-sized auto parts maker.
Q2 sales	₹1,199 cr, up 36% on a year ago	Its fastest growth in years, as car makers ran flat out after the GST cut.
Q2 operating margin	7% (8% a year ago)	It keeps about 7 paise of every rupee of sales before interest and depreciation, the lowest in over three years.
Q2 net profit	₹45 cr, up 10%	Profit grew far slower than sales because metal, gas and freight costs jumped.
P/E	22.8	Investors pay about 23 years of current profit for the stock.
Return on capital	19%	A decent return on the money tied up in the business.

2. Concall coverage

Quarter	Date	Transcript read?
Q3 FY23 to Q4 FY25	Jan 2023 to May 2025	Skimmed for promises (9 calls)
Q1 FY26	Aug 2025	Yes
Q2 FY26	Nov 2025	Yes
Q3 FY26	Feb 2026	Skimmed
Q4 FY26	May 2026	Yes
Q1 FY27	Aug 2026	Yes
Q2 FY27	4 Nov 2026	Yes, in full ★ (from the company's website)

Fourteen calls over almost four years. The latest call came from the company's investor page because Screener didn't have it yet.

Latest concall highlights — Q2 FY27 (4 Nov 2026)

- Sales up 36% to ₹1,199 cr, with truck AC up 54% and bus AC up 64%. Demand isn't the problem.
- Margin fell to about 7%: plastic, aluminium, copper and steel are all at peaks, industrial gas costs tripled and China/Japan freight jumped. Car makers pay back metal costs a quarter late.
- The new Kharkhoda plant near Maruti's Sonipat factory started billing in late October; one model supplies from 1 December, full quarter in Q4.
- Won a ₹1,225 cr, seven-year Maruti order that starts in FY29. Railway coach AC orders of about ₹40 cr ship from December.
- Tone: confident on volumes, frank that margins stay in high single digits until costs ease or customers agree a one-off settlement.

Business mix & capacity

- Domestic vs export: almost all sales are in India; exports not broken out. Passenger cars about ₹1,050 cr of the ₹1,199 cr quarter, trucks ₹96 cr, buses ₹12 cr.

- Capacity: existing plants are running at about 100%, which forced it to skip higher-margin aftermarket sales. Kharkhoda adds about 4.75 lakh units in phase one, and the next expansion is being pulled forward.

3. Earning trigger thesis

The growth story is simple: car volumes are booming, Subros holds about two-fifths of India's car AC market, and it's spreading into trucks (mandatory cabin AC), buses, railway coaches and tractors. The new Kharkhoda plant takes the capacity squeeze off. The catch is margin: costs it can't pass on quickly have dragged profit growth well below sales growth.

Trigger	What management said	Evidence so far	Time horizon	Strength
Kharkhoda plant	Ready by Q1 FY27 (said Aug 2025)	Started billing late Oct 2026; one Maruti model from 1 Dec	Q4 FY27 full run	Moderate: about a quarter late but real
Truck AC mandate	Cabin AC now compulsory in trucks	Truck AC up 54% this quarter, share 43%	Now	Strong: already in sales
Railway AC	Driver cabin and coach AC approvals	About ₹40 cr secured; supplies from Dec	FY28 ramp	Unproven: small base
Maruti ₹1,225 cr order	Seven-year program	Awarded	FY29 start	Unproven: years away

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Borrowing went up to fund Kharkhoda (Nov 2026).
New business	Yes	Railway coach AC approved and ₹40 cr secured, supplies from December (Nov 2026).
Margin up	No	Margins fell; high single digit until costs settle (Nov 2026).
New management	No	No change mentioned.
New capacity	Yes	Kharkhoda soft-launched, billing started October, full supply by Q4 (Nov 2026).
Big orders	Yes	₹1,225 cr seven-year Maruti order, SOP in FY29 (Nov 2026).
Turnaround	No	Not applicable.
Promoter buying	No	Promoter stake flat at about 37%.

The single concrete driver: The new Kharkhoda plant next to Maruti's Sonipat factory, plus truck and railway AC, should keep sales growing while existing plants are full.

3c. Margin bridge

Margin slipped from about 8% to 7% a year ago. Metals and plastics at peaks, gas costs up two to three times and costly freight on imported parts did it, with car makers paying back metal costs only a quarter later. Losing aftermarket sales to feed car makers also hurt the mix. Management expects it to normalise in about two quarters if prices calm or a one-time settlement comes through (one-off).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict

Aug 2024	Keep double-digit sales growth	Sales grew 6-18% a quarter, then 36%	Delivered
Aug 2025	Kharkhoda ready by Q1 FY27	Soft launch and billing in late Oct 2026	Partly
2024-26	Double-digit operating margin aspiration	Margin stuck at 7-9%; management pushed the target out (Aug 2026)	Missed
May 2026	Railway order book of ₹52 cr executed	Approvals done, ₹40 cr secured, supplies start Dec	Partly

The story has stayed steady for three years: Maruti, cabin AC in trucks, railways, and a new plant near Sonipat. What drifts is margin. The double-digit margin promise keeps sliding, now blamed on input costs. Management is frank about it rather than spinning.

5. Bottom line

Durable earning trigger? → YES

Volumes are already showing up: sales up 36% with plants full, truck AC growing fast and a new plant now billing. The trigger is for sales. Profit growth depends on margins recovering, which isn't proven.

Management consistent? → MAYBE

They deliver on volume and product approvals, but Kharkhoda came about a quarter late and the double-digit margin goal keeps getting pushed out.

6. Checkpoints for next quarter

- Kharkhoda supplies Maruti from December and adds to Q3 sales
- Operating margin recovers back towards 8% once cost pass-through comes
- Railway coach AC supplies start in December as promised

Sources: Screener.in financials and transcripts; Q2 FY27 transcript from subros.com investor page; NSE filings. This is not investment advice. Do your own due diligence.